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THE WHITE HOUSE
WASHINGTON

0128

January 8, 1990

MEMORANDUM OF TELEPHONE CONVERSATION

SUBJECT: Telephone Conversation with Prime Minister
Felipe Gonzalez of Spain (U)

PARTICIPANTS: The President
Prime Minister Felipe Gonzalez
Interpreter: Barbara Phillips
Notetaker: Adrian Basora (U)

DATE, TIME January 4, 3:20 - 3:35pm EST
AND PLACE: The Oval Office

The President telephoned Prime Minister Felipe Gonzalez of Spain concerning the Panama situation. (U)

President: How are you? (U)

PM Gonzalez: Fine. I just returned from four days of vacation.
(U)

President: I know that because I had tried to call you earlier in the week to wish you a happy new year. (U)

PM Gonzalez: The same to you and to Mrs. Bush. (U)

President: Do you have a few minutes to discuss Panama? (S)

PM Gonzalez: Yes, I have been following the situation closely.
(S)

President: We have moved forward on all of the fronts that we discussed 10 days ago. Civil authority has been reestablished and certified by the electoral commission. A significant number of PDF officers have been reincorporated and the new Panamanian security forces are maintaining law and order. And, on the point you so strongly made, we have provided humanitarian aid, especially medical assistance. We are pleased to have Noriega in custody. He will be given a fair trial and treated as innocent until proven guilty. I called the Pope today to thank him for the magnificent work of the Vatican and to single out Monsignor Laboa who, I understand, is a Spaniard. (S)

PM Gonzalez: Yes, yes, he is a Spaniard. (S)

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President: I just met with Colin Powell who is on his way to Panama. His mission is to establish a timetable for the prompt return of U.S. forces. I have assured the new government that we have every intention of carrying out the Panama Canal Treaty. We've just had an economic mission in Panama looking into their problems and we will be making as generous as possible an effort to solve them. The process has already begun with the lifting of U.S. economic sanctions. I realize that both I and the U.S. Government have much diplomacy to do in Central America and Latin American, because of the past history of use of force. But given the almost euphoric reaction of the Panamanian people, this task should be made somewhat easier. I value your judgment and want to solicit your help in this effort. I would consider it a personal favor if you would keep in touch and give me your views. That is my message. I would be happy to discuss any reaction you have now, or to hear your thoughts later after further reflection. (S)

PM Gonzalez: Thanks for your words. There is a need to normalize the situation in Panama, and we want to help. There are 20,000 Spanish citizens in Panama, and Spain is, therefore, engaged. I think the climate will improve as normalization proceeds, but I will reflect further and give you my comments, perhaps in a written note. (S)

President: As I have said, the Latin Americans put you and Spain on a pedestal. I hope that when you talk to Latin American leaders, you will help to make it clear that the U.S. intervened for two reasons: to restore democracy and to protect U.S. lives. I am not sure that the latter point is fully understood by most Latin Americans. (S)

PM Gonzalez: Yes, I will be talking with some Latin American leaders. (S)

President: Adios. (U)

PM Minister: Thank you. (U)

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